Q19 (i)

- The most immediate advantage is that the managers are no longer restricted to their salaries. They will share the profits made by Sub, which could be significantly greater [1]
- The deal gives them the security of $16m of revenue every year, which is a good start for a new business venture because they don't need to go out and look for business [1]
- They will be working for a known business and will understand what is being expected of them [1]
- The directors will have rent-free accommodation for the first 18 months of their operations on an independent basis, which will reduce the disruption of relocating staff and will save costs [1]
- The significant personal borrowings will be a serious concern. The failure of the business could leave them in serious financial difficulties [1]
- They will have to reduce running costs from $20.0m - 2.5m = $17.5m to $16.0m immediately, which could prove difficult [1]
- They will undoubtedly have to make former colleagues redundant in order to achieve this, which may be uncomfortable and even distasteful [1]
- It may be more difficult to achieve those savings than they expect because it is reasonable to imagine that Parent has already considered all practical ways to reduce costs while maintaining quality [1]

- It will also be necessary to start looking for new premises almost immediately in order to be ready to relocate [1]

[9, Max 8]

(ii)

- The biggest advantage is that the business will receive an inflow of $4m. That will improve cash flows, even if it is not a huge sum in comparison to the size of the Group as a whole [1]
- Parent will also benefit from the cost savings associated with the fixed annual fee to Sub being lower than the operating costs that would otherwise be incurred [1]
- When the contract is set for renewal in four years, the company will have a massive advantage in terms of bargaining power and may be able to reduce costs even further [1]
- This arrangement will enable the company to retain the services of its existing actuarial team, rather than risking the disruption of outsourcing to a third party who may prove to be incompetent [1]
- There could be disadvantages, though. The MBO team will be under pressure to reduce costs, which could have an adverse impact on the quality of the service [1]
- The need to keep the contract will also give the actuaries a good reason to avoid owning up to any errors or omissions, which could prove costly in the long run [1]
- The new entity might also start looking for additional work from third parties, which could be a further distraction [1]

[7, Max 6]

(iii)

- Restricting shares to the 18 senior managers could have the effect of demotivating other managers and staff, who would wish to own a stake in the company [1]
- There would be no significant loss of control if the senior staff took, say, 3% each which would give them 54% in total and so they would retain control [1]
- The additional equity would reduce the need for the founders to find the whole $4m from their own resources [1]
- It would also reduce the possible need to raise debt finance and so reduce the problems associated with gearing at this early stage [1]
- Opening up shareholdings could make it more difficult to manage staff in the medium term. For example, it could prove more difficult to make an employee redundant if that person is also a shareholder [1]
- The staff might also be unwilling to move on if they are unhappy because they could feel tied to the company because of their investment [1]
- They may also feel entitled to greater latitude in their performance and in their behaviour because they own some shares [1]

[7, Max 6]

[Total 20]

This question was answered very well. There were many good passes and many candidates gave very good answers. The candidates in general showed a good understanding of management buyouts and gave in depth answers which demonstrated an understanding of the topic.